1988. The pieces of the equity market fell into place by 2001. There was an exciting journey of ideas and action, with the establishment of SEBI, NSE and NSDL, which ran from 1984 to 2001. This gave fundamental progress in the equity market.

We may have thought that once completed, this would stand in place. In the event, there was a dissipation of the institutional memory. The experiences of the 1980s and 1990s, which shaped decisions of the 1990s, were forgotten. In numerous aspects, there has been a retreat in the capabilities of the financial markets in the recent decade. As an example, the first settlement failure in the history of the NSE, and the first settlement failure in the Indian equity market after a gap of nineteen years, took place in 2019. [3]

Similarly, the pension reforms began with Project OASIS, led by Surendra Dave, in 1998. This led up to the decision in December 2002 to implement the New Pension System (NPS) for new recruits into the government. Pension Fund Regulatory and Development Authority (PFRDA) was set up, and the law enshrining PFRDA was only enacted in 2013. However, there was a dissipation of the institutional memory. The experiences of the 1990s, and the logic of the NPS, were forgotten in many important ways.

These experiences underline the importance of building stable teams which are able to engage with the reforms process over long time horizons. Each area of work is a complex problem with many moving parts. As policy projects unfold over long time horizons, we require teams and policy continuity over long time horizons. When staffing is unstable, and when institutional memory is lost, we lose ground.

Building the republic takes time

It took hundreds of years to build the US, the UK and the other mature liberal democracies of the world. As an example, the US Constitution was written in 1776, but the ‘fruit of the poisonous tree’ doctrine—which is